

Tutorial 2: Monetary and fiscal policies

Panthéon-Sorbonne Master in Economics

29th September 2025

Leonardo Endrizzi (PSE)

Outline

Core questions

Exercises

Case Study - France

Core questions

Core questions

- ▶ What are the two main objectives of monetary policy, what are the Central Bank's targets and its main instruments?
- ▶ What are the fiscal policy instruments?
- ▶ Give some examples of conflicts between different objectives of fiscal and monetary policies.
- ▶ Which inflation measure is usually used in monetary policy?
- ▶ How is it possible that the commercial banks create money "out of thin air"?

Exercises

Exercise 1

- ▶ ECB's minimum reserve requirement is 1% [▶ ECB page](#)
- ▶ Calculate the money multiplier in the Euro area
- ▶ If 100€ gets injected into the Euro area, what's the maximum amount of money that the European commercial banks will be able to create?
- ▶ How would you answer the previous question if the MRR was 2% (as it used to be).

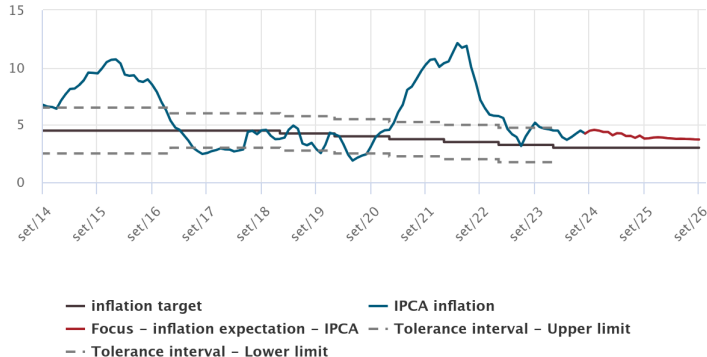
Exercise 2

► BCB history

The target inflation rate in Brazil is 3% in 2024-25. Looking at the figure below, what would you expect the Banco Central do Brasil to do in October 2024?

IPCA – Inflation rate and Inflation target

Actual inflation rate, market expectations (Focus) and inflation target | 12-month % change (monthly data)



Case Study - France

Fiscal outlook in 2025

- ▶ Most Eurozone countries continued fiscal consolidation while France's deficit widened in 2023–24. Why?
- ▶ Why, according to the text, future consolidation cannot rely too heavily on raising taxes? What are the economic trade-offs of prioritizing spending cuts over revenue increases in fiscal consolidation?
- ▶ By 2026, rising debt servicing costs and military expenditures are expected to add 0.6 percentage points of GDP to spending. If growth remains weak, what policy options remain for France to keep debt sustainable without stalling economic activity?
- ▶ Social spending dynamics: Social transfers and pensions outpaced inflation in 2023–24, helping sustain household incomes. How might the full indexation of social spending to inflation affect long-term fiscal sustainability?